

LEASE VS TENANCY



Written by *Nurarissa Erina*
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**MORE THAN
THREE? IT'S A
LEASE, YOU
SEE...**

While the terms "**lease**" and "**tenancy**" are often used interchangeably in everyday conversations, few truly understand their distinct meanings and legal differences—especially in the context of property agreements.

Simply put, a lease refers to a rental agreement with a duration of more than three (3) years, while a tenancy applies to agreements lasting less than three (3) years. If you're unsure whether you're renting under a lease or a tenancy, the easiest way to tell is by checking the length of the rental period stated in your agreement.

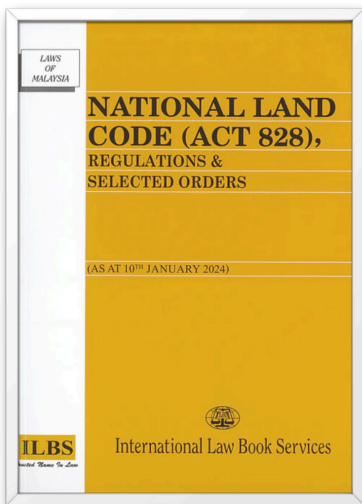
Although both are forms of rental agreements, they differ slightly in terms of registration requirements and the legal protections they offer. When it comes to these two, the National Land Code 1965 ("**NLC**") is your ultimate guide.



REGISTRATION



Under the NLC, the law does not recognize or protect interests in a property unless they are properly registered. This makes the registration of any property dealing absolutely crucial. Without registration, parties risk being left without legal remedies to enforce or protect their interests.



This brings us to the first key distinction: **Tenancy agreements are exempt from registration.** In fact, Section 223 of the NLC clearly states that tenancies not exceeding three years do not require registration under the law.

A lease, however, is subject to registration. According to Section 5 of the NLC, a lease is specifically defined as a registered lease. In other words, without registration, an agreement cannot be legally recognized as a lease under the Malaysian law.

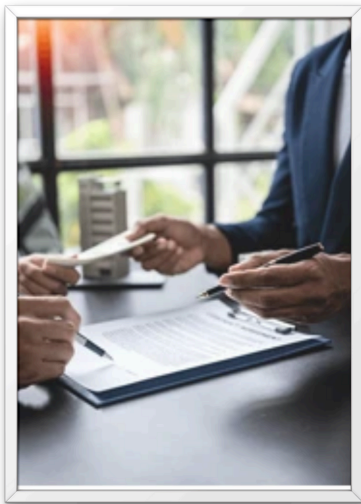
Registration is not optional—it is compulsory. As provided under Section 221(4) of the NLC, a lease must be granted by executing an instrument in Form 15B, making it a formal, legally binding arrangement only upon registration.



PROTECTION



Since a lease is registered, it enjoys full protection under the law. Upon registration, the lease is endorsed on the title deed and recorded in the Register of Titles, effectively making it a matter of public record. This public notice serves an important legal function: it binds the proprietor to the terms of the lease. As a result, the proprietor cannot dispose of, transfer, or otherwise deal with the property in a way that contradicts the lease until it either expires or is lawfully terminated. Subsequent purchasers are also bound by the lease.

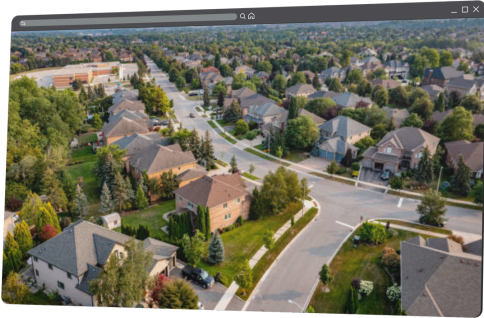


However, in the Federal Court case of **S & M Jewellery Trading Sdn Bhd & Ors v Fui Lian-Kwong Hing Sdn Bhd [2015] MLJU 518**, it was held that: A lease or sub-lease is not rendered void by reason of non-registration but it is imperfect without registration. Unless perfected, it will not operate to transfer title to the lessee or sub-lessee. It is nonetheless an agreement for a lease.



On the other hand, although a tenancy agreement is generally less secure, a tenant or any person claiming to be entitled to the benefit of a tenancy exempt from registration may apply for protection under Section 316 of the NLC by endorsing the tenancy on the Register Document of Titles to the property.

DURATION



As previously discussed, a lease is a rental agreement which exceeds the period of three (3) years. As provided under Section 221(3) of NLC, the maximum term a lease may be granted is ninety-nine (99) years for the whole land, and thirty (30) years for a part of the land.

Referring to the Privy Council case of **Siew Soon Wah v Yong Tong Hong [1973] 1 MLJ 133**, it is trite law that where a lease agreement lacks a clearly defined duration, but the lessee is permitted to occupy the premises "for as long a period as is within his power to do so," such an arrangement constitutes a valid lease—provided that the term does not exceed the maximum duration permitted under the NLC.

On the contrary, a tenancy, as provided under Section 223 of the NLC, may only be granted for a period not exceeding three (3) years. However, tenancies can be renewed, depending on the renewal clauses outlined in the agreement. The tenant may continue occupying the property under the same terms and conditions, subject to mutual agreement between the parties at the end of each term.

PROS AND CONS

Pros	Cons
Lease	
Security of tenure - As leases offer long-term security, lessees may invest in property improvements or renovations	A landlord may terminate a lease if the tenant breaches any obligations (S 324 NLC)
More suitable for commercial areas	Dealing with leasehold properties can be troublesome as it often requires approval from the state government
Leases provide tenants with greater stability and ensure landlords a steady and predictable rental income	Higher upfront costs, such as legal fees, registration costs and stamp duty
Leases help minimize the risk of disputes and better safeguard the interests of the lessee	Unlike tenancy, leases are more difficult to renew
Tenancy	
Shorter period	Renovation costs may be wasted with short tenures
More suitable for residential areas	Tenancies are not registrable under the NLC, hence reducing the tenant's legal protection
Tenancy allows tenants to relocate more easily without being tied to long-term commitments	Not suitable for people who are looking for a permanent residence
Less costs to maintain since landlords are responsible for property maintenance and repair costs	Aside from rent, tenants are subjected to pay admin fees, upfront deposit, legal fees and stamp duty

Q&A

Q1: How do I terminate my rental agreement before the duration of occupation has lapsed?

A1: Subject to the termination clauses in the rental agreement, you may submit a written notice to the landlord of your intention to terminate within the notice period specified in the agreement. In most tenancy agreements, the standard notice period is two (2) months. If the tenant needs to move out of the property before the notice period has lapsed, they are required to pay rent for the remaining duration of that notice period.

Where the termination is by mutual agreement between the landlord and the lessee or tenant, the power of surrender under Section 239 of the NLC shall apply.

Q2: What legal remedies are available to landlords when a lessee or tenant breaches any express or implied provisions under the NLC?

A2: A landlord has the right to exercise forfeiture against a lessee or tenant who is in breach of the lease or tenancy agreement. When this power is lawfully enforced, all interests dependent on the lease, sublease, or tenancy shall be extinguished.

Q3: Can a landlord enter into the premises once it has been occupied by a lessee or tenant?

A3: Not without the prior consent of the lessee or tenant. A landlord is now rendered a trespasser under the law.

Q4: I'm the landlord of a property, and my tenant has not paid rent for several months. How should I go about this legally?

A4: Under **Section 5(1) of the Distress Act 1951**, a landlord may recover unpaid rent by obtaining a court order to seize and sell the tenant's movable property located on the rented premises. This remedy is available only where a valid landlord-tenant relationship exists, and it applies solely to rent arrears accrued within the 12 months immediately prior to the application. However, as a Writ of Distress does not automatically terminate the tenancy, the tenant may continue to default, in which case the landlord may initiate a civil suit to obtain a Writ of Possession (see below).

Q&A



Written by Nurarissa Erina

Messrs. Shankar Govinth

Tel: +603-64202928

Mobile: +6016-2738540

Email: office@shankargovinth.com

Address: C-3-8, Block C, Plaza Damas,

Jalan Sri Hartamas 1, Sri Hartamas, 50480

Kuala Lumpur

Q5: What are the avenues available if a lessee or tenant refuses to pay rent and/or vacate the house when the agreement expires?

A5. First, under **Section 28(4) of the Civil Law Act 1956**, if a tenant remains in possession of the property after the tenancy has ended without the landlord's consent, the landlord is entitled to claim double rent for the period of unlawful occupation until the property is vacated. However, it is important to note in an application of Writ of Distress under **Section 5(1) of the Distress Act 1951**, the landlord may not claim for double rental.

If you choose to take legal action against a tenant for failing to pay rent, the first step is to issue a Letter of Demand requesting payment within a specified period. Should the tenant fail to comply, you may proceed by serving a Notice to Quit, formally terminating the tenancy and requiring the tenant to vacate the premises by a given date. If the tenant still refuses to leave, you may file a claim in the civil court to obtain a Writ of Possession. This court order allows you to regain control of your property, recover outstanding rent, and seek any damages. This also applies in situations where a tenant unlawfully remains in possession of the premises after the tenancy has expired.

Q6. I don't want to go through the hassle and cost of legal action. Can I change the locks since the tenancy has expired?

A6: This is considered a self-help measure and is unlawful. Changing the locks and/or removing the tenant's belongings from the premise without a court order amounts to illegal eviction or trespass. In such cases, the tenant may take a legal action against you.

Q7. How long does the process of taking legal action for a Writ of Possession against the tenant take?

A7: The timeline for obtaining a Writ of Possession can vary depending on several factors, including the complexity of the case, the court's availability, and whether the tenant contests the suit. On average, the process can take anywhere from 2 to 6 months.